Serendib Bank: Home Loan Product Policy

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Serendib Bank is a fictional bank created for training. These rates and rules are not real.

1. Purpose

Serendib Home Loans help customers buy, build or renovate a residential property in Sri Lanka.

2. Interest rates

Customer type	Rate type	Annual interest rate
Salaried employee (salary credited to Serendib Bank)	Fixed for first 3 years, then variable	11.5% fixed, then AWPLR + 2.5%
Salaried employee (salary at another bank)	Fixed for first 3 years, then variable	12.25% fixed, then AWPLR + 3.0%
Self-employed or business owner	Variable	AWPLR + 3.5%
Sri Lankan working abroad (NRFC account holder)	Fixed for first 5 years	10.75%

AWPLR is the Average Weighted Prime Lending Rate published weekly by the Central Bank of Sri Lanka.

3. Loan amount and tenure

- Minimum loan: LKR 1,000,000.
- Maximum loan: up to **80%** of the property's valuation for purchase, or 70% for construction.
- Maximum tenure: **25 years**, and the loan must be repaid before the borrower turns **65**.
- Monthly instalment must not exceed **40%** of the applicant's net monthly income.

4. Eligibility

- Age 21 to 55 at the time of application.
- Salaried applicants: at least 2 years of continuous employment, 6 months with the current employer.
- Self-employed applicants: at least 3 years of audited accounts or tax returns.
- A clear title deed and an approved building plan are required.

5. Fees

Item	Fee
Processing fee	0.5% of the loan amount (minimum LKR 15,000, maximum LKR 75,000)
Valuation fee	According to the bank's panel valuer's scale
Early settlement fee, within the fixed-rate period	3% of the outstanding balance
Early settlement fee, after the fixed-rate period	Free

6. Required documents

National Identity Card (NIC); last 6 months' salary slips or audited accounts; last 6 months' bank statements; title deeds and a 30-year extract; approved building plan; valuation report.

7. Decision time

A decision is given within **7 working days** of receiving all documents. Disbursement follows within 5 working days of approval.